IN THE INDUSTRIAL COURT OF MALAYSIA

CASE NO.: 11/4-2992/20

BETWEEN

ADIPUTRA BIN MAMOD ... CLAIMANT

AND

GUOCERA SDN BHD ... COMPANY

AWARD NO.: 1826 OF 2025

Before : Y.A. PUAN NUR FAUZAH BINTI DATO' MOKHTAR
- CHAIRMAN (Sitting Alone)

Venue : Industrial Court of Malaysia at Kuala Lumpur

Date of Reference : 08.12.2020.

Date(s) of Mention : 13.01.2021, 01.09.2022, 14.02.2023, 20.03.2024, 20.12.2023, 16.10.2024, 13.11.2024 & 23.01.2025

Date(s) of Hearing : 12.09.2023, 26.09.2023, 01.12.2023, 16.07.2024 & 06.09.2024.

Representation : For the Claimant –
Mr. Hussin Mohd Razak
Ms. Nurhafifah Atriana Azam (Pupil-in-Chambers)
Messrs Mohd Irwan Mohd Mubarak

For the Company –
Ms. Mehala Marimuthoo
Ms Rashmika Krishnamoorthy
Mr. Brandon Back E Hyun (Pupil-in-Chambers)
Messrs Shook Lin & Bok.

REFERENCE:

[1] This is a reference from the Honourable Minister of Human Resources to the Industrial Court of Malaysia made under *subsection 20(3) of the Industrial Relations Act 1967* [*Act 177*] in respect of the dismissal of **ADIPUTRA BIN MAMOD** ("the Claimant") by **GUOCERA SDN BHD** ("the Company") on **22nd June 2020**.

AWARD

[2] The hearing of this case was fixed for five (5) days which proceeded on 12th September 2023 and concluded on 6th September 2024. The Company called one (1) witness i.e. Shanthini Subramaniam ("COW-1"). Whilst the Claimant gave evidence on his own behalf.

[3] In handing down this Award the following were considered by the Court:

(a) the record of proceedings;

(b) the notes of proceedings;

(c) Statement of Case dated 14th April 2021;

(d) Statement in Reply dated 6th May 2021;

(e) Rejoinder dated 24th May 2021;

(f) the Claimant's Witness Statement ("CLWS1") and the Witness Statement of COW-1 ("COWS1");

(g) the Claimant's Bundles of Documents marked as CLB1;

(h) the Company's Bundles of Documents marked as COB1, COB2, COB3 and COB4;

(i) the Claimant's Written Submissions dated 22nd November 2024;

(j) the Company's Written Submissions dated 14th November 2024;

(k) the Claimant's Written Submissions in Reply dated 23rd January 2025; and

(l) the Company's Written Submissions in Reply dated 23rd January 2025.

Background Facts

[4] Based on the pleadings and bundles of documents, this Court takes note of the following –

(a) the Claimant commenced his employment with Guocera Tile Industries Sdn Bhd as a Senior Human Resource Executive and was entitled to a basic monthly salary of RM6,000.00. The said salary as well as other terms and conditions of the Claimant's employment are stipulated in the Letter of Employment dated 15th December 2014 ("Letter of Employment");

(b) conflicting commencement dates for the Claimant's employment were provided by the Claimant and the Company. As per the Letter of Employment tendered by the Claimant in Court it shows his commencement date of employment as 19th January 2015 whilst the Letter of Employment tendered by Company shows the Claimant's commencement date of employment as 2nd February 2015;

(c) over the course of his employment, the Claimant's salary slips featured the following employer's name:

(i) salary slips from February 2015 – September 2015 – "Guocera Tile Industries";

(ii) salary slips from October 2015 – January 2016 – "Guocera Marketing Sdn Bhd"; and

(iii) salary slips from February 2016 – June 2020 – "Guocera Sdn Bhd";

(d) as there is no dispute being raised as regards the determination of the Claimant's employer, it is concluded that the Claimant was the employee of the Company;

(e) vide letter dated 23rd July 2015, the Claimant was informed that he has been confirmed in his position effective 2nd August 2016 with a monthly salary of RM6,600.00; and

(f) *vide* letter dated 22nd June 2020 ("Dismissal Letter"), the Claimant was dismissed from his employment effective the same date and his last drawn salary prior to the said dismissal was RM7,580.00.

The Company's Case and Submissions

[5] The Company, in contending that the Claimant's termination is with just cause and excuse, avers as follows:

(a) the Claimant commenced employment with the Company on 2nd February 2015 as the Senior Human Resource Executive with Executive Grade E1, where he was placed on probation for six (6) months before he was confirmed on 2nd August 2015;

(b) the Claimant's Job Description as Senior Human Resource Executive could be found at pp. 20 - 22 of COB2;

(c) the Claimant was assisted in his duties and responsibilities by five (5) direct non-executive subordinates which included one Zolkefley Bin Md Husin, Human Resources Specialist. These non-executives subordinates have a direct reporting line to one Wenceslas a/l Savariappan, the Company's former Human Resources Manager;

(d) on 13th February 2020, one Zolkefley Bin Md Husin, Human Resources Specialist resigned from the Company and as his immediate supervisor, the Claimant was directly responsible for functions carried out by one

Zolkefley Bin Md Husin in maintaining and managing the welfare of the foreign workers employed in the Company including the renewal of foreign workers' permits. Reference was also made to the Industrial Court case of *Zolkefley Bin Md Husin v Guocera Sdn. Bhd.* (Award No. 139 of 2022) wherein it was held that one Zolkefley Bin Md Husin reports to the Claimant;

(e) following the Covid-19 pandemic, sometime in June 2020 the Company initiated the manpower rationalization exercise and this called for determination on the number of foreign workers. Based on the data provided by the Claimant on the particulars of employees affected by the retrenchment exercise, COW-1 discovered that work permits belonging to some of the foreign nationals employed by the Company had expired;

(f) vide email dated 18th June 2020, the Claimant was directed to provide a written explanation to enable COW-1 to understand the status of the foreign workers identified since the Claimant had placed them under the retrenchment list despite the expiry of the work permit and to understand the steps taken with regards to their permit renewal;

(g) the Claimant's explanation that he would visit the Immigration Department to apply for special pass and renew their permits once the Immigration Department commences operations came as a surprise to COW-1 as the Immigration Department had announced on 2nd May 2020 that all extension of passes is to be carried out within 30 days from the end of Movement Control Order, which was on 3rd May 2020, and the Immigration

Department had resumed operations on 6th May 2020;

(h) when queried further, Claimant replied that that the appointment slots for the renewal of work permits have been fully booked from June to September 2020 and as such appointment could only be made after September 2020 i.e. five (5) months after the Movement Control Order was lifted;

(i) the Company was not satisfied with the Claimant's explanation as the Claimant failed to monitor and keep abreast with the important announcement by the government in relation to the MCO and operations of the related government agencies;

(j) being the person in charge of ensuring compliance with the statutory requirements from the human resource perspective, monitoring personal records, recruitment processes, advising the Company on human resource policies and procedures and the welfare of the employees, it is unacceptable for the Claimant to have been so lackadaisical on the renewal of the work permits as the Claimant ought to be fully aware of the legal ramifications likely to be faced by the Company and/or its directors and manager for harbouring undocumented workers at the Company's premises and ought to have taken the necessary steps to ensure compliance;

(k) after taking into consideration all relevant facts and the Claimant's explanations via his emails dated 18th June 2020, the Company decided

to dismiss the Claimant effective 22nd June 2020;

(l) from the evidence put forward by the Company, i.e. the Claimant's resume and job description as well as COW-1's testimony that the Claimant had sole access to the personal records of these foreign workers, it shall be inferred that the Claimant was in charge of, *inter alia*, overseeing the management of foreign workers and engaging with government offices to ensure compliance with regulations, including those related to foreign workers' permits;

(m) the Claimant knew he had to apply for the renewal of permit three (3) months prior to the expiry and failure to do so would mean he would have to apply for the special pass. Furthermore, Covid-19 cannot be used as an excuse for the non-renewal of foreign workers permits;

(n) the Claimant was lackadaisical in his attitude by not taking immediate steps to renewal of the foreign workers permits and only attempted (despite it being too late) to do so when COW-1 kept on questioning him. The Claimant in his email also failed to mention any alternative actions or contingency plans he had taken to deal with the delayed renewal process;

(o) in reference to the Industrial Court case of *Saiful Azwan Abdul Majid v Eon Auto Mart Sdn. Bhd. / Eon Bhd.* [2019] 2 LNS 1232, it was held that the Claimant had fell short of the high standard of care and skill expected of him and destroyed the trust and confidence placed upon him by the Company, when he had exposed the Company to monetary losses as well

as damages to its reputation through his careless conduct and failure to perform his tasks and responsibilities; and

(p) the Claimant was provided with the opportunity to explain his actions as he was asked the same question multiple times, which allowed him to clarify or further elaborate on his stance. This repeated questioning suggests he had multiple chances to address the concerns raised by the Company.

The Claimant's Case and Submissions

[6] The Claimant, *vide* the Claimant's Written Submissions and Written Submissions in Reply, submits that –

(a) the Claimant has clearly stated in his evidence that one Zolkefley Bin Md Husin never reported directly to him but reported directly to one Wenceslas a/l Savariappan, the Company's former Human Resources Manager. As it was the Company who has raised the said facts and/or allegations the Company bears the burden to proof the same but failed to do so as the Company never called one Wenceslas a/l Savariappan, the Company's former Human Resources Manager to confirm and/or proof the said allegations and/or facts;

(b) it was only after one Zolkefley Bin Md Husin resigned from the Company the Claimant was instructed to take over his responsibilities i.e. managing foreign workers' working permits was only assigned and/or instructed to

him after the resignation of one Zolkefley Bin Md Husin;

(c) the authenticity and veracity of the job description enclosed in COB2 on pages 20 to 22 is denied/challenged was never given to the Claimant. Furthermore, the said document had misspelt the Claimant's name and the Company's logo placed on the right side of the document's footer was not in existence when the Claimant first commenced his employment with the Company. Moreover, COW-1 who testified that the Job Description was in custody of the Claimant actually has no personal knowledge about the job description as COW-1 has yet to join the Company when the so-called Job Description was created;

(d) the Claimant's role in ISO 9000 compliance, as cited by the Company, further supports his position as a governance leader and the execution part of works had been delegated by the Company itself to the relevant officers who are responsible to carry out and perform operational duties and responsibilities;

(e) the failure to apply for the renewal of foreign workers' working permit within the said three (3) months' timeline was not because the Claimant failed to apply within the said period but because the application for the renewal of the foreign workers' working permit was not the Claimant's original duties as it was under the purview of one Zolkefley Bin Md Husin's duties who had failed to do so within the said three (3) months period. Thus, the delay in renewing the foreign workers' permits was not due to the Claimants' negligence or lackadaisical attitude but it was because it

was not done by one Zolkefley Bin Md Husin;

(f) the Company's allegations that the Claimant was lackadaisical with regard to the renewal of foreign workers' working permits just based on one (1) day e-mails communication was not sufficient and could not constitute as *just cause* to dismiss the Claimant as the Claimant had provided updates, outlined the constraints he faced, and expressed his intention to resolve the issue when it was only brought to the Claimant's attention by the Company on the 18th June 2020 for the first time. Thus, the Claimant has never wilfully omitted his assigned duties;

(g) the Company at all material times have not produced any document to show any action taken against the Company regarding the said foreign workers' whose working permits have already expired. As such the present case can be distinguished from the Industrial Court case of *Saiful Azwan Abdul Majid v Eon Auto Mart Sdn. Bhd. / Eon Bhd.* [2019] 2 LNS 1232 cited by the Company as the employee in the said case has indeed occasioned the Company losses amounting to millions due to his non-observance of duty.;

(h) the Company failed to establish proper systems to support the Claimant in handling the renewal process. By not providing the necessary tools and framework, the Company itself contributed significantly to the challenges faced in renewing work permits;

(i) the Company had the authority and resources to address delays caused

by the Immigration Department's backlog but failed to provide adequate support or take proactive measures; and

(j) the Claimant has never committed any grave and/or serious misconduct throughout the Claimant's employment of five (5) years. Therefore, it is unreasonable to terminate the Claimant based on one (1) specific issue which occurs during the Movement Control Order period despite it was not within the Claimant's job scope. The Claimant should be given his right to be heard for a chance to justify himself and opportunity for him to improve.

Remedies sought by the Claimant

[7] The Claimant prays that this Court makes such order that the Claimant be reinstated to his position without any loss of wages, allowance, service, seniority, privileges or benefits of any kind and any other or alternative relief as this Court deems fit and proper.

The Role of the Industrial Court, Burden of Proof and Standard of Proof

[8] It is noted that the role or function of the Industrial Court has been clearly stated in the following cases:

(a) the Supreme Court case of *Wong Chee Hong v Cathay Organisation (M) Sdn Bhd* [1988] 1 CLJ (Rep) 298, where at p. 302, Salleh Abas LP, in delivering the judgment of the Supreme Court, referring to section 20 of the Industrial Relations Act 1967 said, "*When the Industrial Court is*

dealing with a reference under s. 20, the first thing that the Court will have to do is to ask itself a question whether there was a dismissal, and if so, whether it was with or without just cause or excuse"; and

(b) the Federal Court in the case of *Goon Kwee Phoy v J & P Coats (M) Bhd* [1981] 1 LNS 30, where His Lordship Raja Azlan Shah, CJ (Malaya) (as HRH then was) stated that "*Where representations are made and are referred to the Industrial Court for enquiry, it is the duty of that court to determine whether the termination or dismissal is with or without just cause or excuse. If the employer chooses to give a reason for the action taken by him, the duty of the Industrial Court will be to enquire whether that excuse or reason has or has not been made out. If it finds as a fact that it has not been proved, then the inevitable conclusion must be that the termination or dismissal was without just cause or excuse. The proper enquiry of the court is the reason advanced by it and that court or the High Court cannot go into another reason not relied on by the employer or find one for it.*"

[9] It is further noted in cases where a claimant is dismissed by the company, the burden is on the company to prove that the dismissal was with just cause or excuse. In the Industrial Court case of *Ireka Construction Berhad v Chantiravathan a/l Subramaniam James* [1995] 2 ILR 11, where at p. 15, the Learned Chairman, Her Ladyship Siti Saleha Dato' Sheikh Abu Bakar, stated "*It is a basic principle of industrial jurisprudence that in a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has*

been dismissed. The burden of proof lies on the employer to prove that he has just cause and excuse for taking the decision to impose the disciplinary measure of dismissal upon the employee. The just cause must be, either a misconduct, negligence or poor performance based on the facts of the case".

[10] In the case of *Telekom Malaysia Kawasan Utara v Krishnan Kutty Sanguni Nair & Anor* [2002] 3 CLJ 314 the Court of Appeal had laid down the principle that the standard of proof that is required to prove a case in the Industrial Court is one that is on the balance of probabilities. His lordship Justice Abdul Hamid Mohamad, JCA stated "*[t]hus, we can see that the preponderant view is that the Industrial Court, when hearing a claim of unjust dismissal, even where the ground is one of dishonest act, including "theft", is not required to be satisfied beyond reasonable doubt that the employee has "committed the offence", as in a criminal prosecution. On the other hand, we see that the courts and learned authors have used such terms as "solid and sensible grounds", "sufficient to measure up to a preponderance of the evidence," "whether a case... has been made out", "on the balance of probabilities" and "evidence of probative value". In our view the passage quoted from Administrative Law by H.W.R. Wade & C.F. Forsyth offers the clearest statement on the standard of proof required, that is the civil standard based on the balance of probabilities, which is flexible, so that the degree of probability required is proportionate to the nature of gravity of the issue. But, again, if we may add, these are not "passwords" that the failure to use them or if some other words are used, the decision is automatically rendered bad in law*".

[11] Thus, the role or function of the Industrial Court is to determine whether

there was a dismissal and if so whether on the balance of probabilities the said dismissal was with just cause or excuse.

[12] This Court further notes that the Claimant avers the Company without holding a domestic inquiry proceeded to issue a termination letter dated 22nd June 2020 against the Claimant and has deprived the Claimant from the right to be heard which is the essence of principle of natural justice.

[13] Notwithstanding the fact that a domestic inquiry was not convened, this Court would like to point out that it is the duty of the Industrial Court to determine whether the dismissal is with or without just cause or excuse. This is clearly stated in the Federal Court case of *Wong Yuen Hock v Syarikat Hong Leong Assurance Sdn Bhd* [1995] 3 CLJ 344. Mohd Azmi bin Hj Kamaruddin FCJ in delivery the judgment of the Court said as follows:

> *"In any event, we held the view that once a case of wrongful dismissal had been properly referred by the Minister under s. 20(3), the Industrial Court was seised with jurisdiction and was obliged under the Act to determine the dispute on its merits. Thus, even where there was a breach of contractual or statutory obligation to hold an inquiry, the Industrial Court should proceed to determine on the merits firstly, whether the misconduct complained of was in fact committed by the employee, and secondly whether the nature and extent of the misconduct could constitute just cause or excuse for the dismissal."*

[14] In fact, in the Industrial Court case of *The Straits Trading Company Limited & STC Realty (BW) Sdn Bhd v Ong Wan Chin* [2006] 4 ILR 2706, the Learned Chairman stated that "*[t]he initial defect in natural justice in that the company had failed to conduct a domestic inquiry before dismissal, is not fatal but is curable by the inquiry before the Industrial Court: see Dreamland Corporation (M) Sdn Bhd v. Choong Chin Sooi & Anor [1988] 1 CLJ 1; [1988] 1 CLJ (Rep) 39 F.C. and Milan Auto Sdn Bhd v. Wong Seh Yen [1995] 4 CLJ 449 F.C. The function of the Industrial Court in dismissal cases on a reference under s. 20 of the Industrial Act 1967 is two-fold, firstly, to determine whether the misconduct complained of by the employer has been established and secondly, whether the proven misconduct constitutes just cause or excuse for the dismissal: Milan Auto (supra)*".

This Court's Findings

[15] Having considered the evidence given by the Claimant and the Company as well as the submissions of both the Claimant and the Company, this Court notes that the allegations of the Claimant's misconduct as per the Dismissal Letter are as follows:

(a) the Claimant have failed to exercise due care and diligence despite being entrusted with the responsibility to ensure that all foreign workers working at the premises of the Plants at Kluang have valid work permit and are legally entitled to be present within the premises of the Company;

(b) the Claimant admitted to not making any application for work permit and/or special pass until this failure was brought to his attention on 18th June

2020. The Claimant further admitted that the foreign workers identified have been reporting to work as usual despite not being in possession of valid work permit and thereby exposing the Company to legal actions by the authority;

(c) the Claimant attempted to justify his failure by claiming all appointments have been fully booked from June 2020 to September 2020. As the *Sistem Temujanji Online* at the Immigration Department was opened for scheduling of appointment on 8th May 2020 and appointments commenced on 13th May 2020 at the Johor State Immigration Department and 2nd June 2020 at the Immigration Department's Branch Office at Kluang, this reflects the Claimant's lackadaisical attitude in ensuring that he keeps himself informed and abreast with the developments with regard to the opening of the department and/or its counters; and

(d) the Claimant's lackadaisical attitude towards work and gross negligence in carrying out of the duties and responsibilities entrusted upon him has exposed the Company to legal sanction and destroyed the trust and confidence placed upon him by the Company.

[16] For purposes of the renewal of the foreign workers' permits –

(a) the Company's Human Resource Department Organization Chart shows that –

(i) the Claimant was assisted in his duties and responsibilities by

five (5) direct non-executive subordinates, including one Zolkefley Bin Md Husin, Human Resources Specialist; and

(ii) the Claimant reported directly to one Wenceslas a/l Savariappan, the Company's former Human Resources Manager who reported directly to the Head of Human Resources, one Bhupindar Singh, who was supervised by COW-1, the Head of Human Resources in Hong Leong Industries Berhad. In this regard, it is noted that the Company is a wholly-owned subsidiary of Hong Leong Industries Berhad;

(b) it is the Company's contention that –

(i) the five (5) non-executive subordinates assisting the Claimant, namely one Zolkefley Bin Md Husin, Human Resources Specialist, do not have a direct reporting line to the Human Resources Manager, one Wenceslas a/l Savariappan; and

(ii) as the Claimant is the immediate supervisor of one Zolkefley Bin Md Husin, Human Resources Specialist, the Claimant was therefore, directly responsible for functions carried out by one Zolkefley Bin Md Husin in maintaining and managing the welfare of the foreign workers employed in the Company including the renewal of foreign workers' permits;

(iii) the Industrial Court in the case of *Zolkefley Bin Md Husin v Guocera*

Sdn. Bhd. (Award No. 139 of 2022) held that one Zolkefley Bin Md Husin reports to the Claimant;

(c) it is the Claimant's contention that –

(i) matters related to the Company's foreign workers including administration and the management of the recruitment process were under the supervision and/or control of one Zolkefley Bin Md Husin, Human Resources Specialist, and he reported directly to the Human Resources Manager, one Wenceslas a/l Savariappan;

(ii) following the dismissal of one Zolkefley Bin Md Husin on 28th February 2020, the Claimant was assigned to manage and administer the foreign workers' matters which were previously not under the duties and responsibilities of the Claimant;

(iii) he was instructed by the Head of Human Resources, one Bhupindar Singh, to make any application for work permit and/or special pass for foreign workers whose contract had expired during the Movement Control Order, the extended Movement Control Order and the Conditional Movement Control Order, the extended Conditional Movement Control Order;

(d) if the Claimant was indeed directly responsible for functions carried out by one Zolkefley Bin Md Husin in maintaining and managing the welfare of the foreign workers employed in the Company including the renewal of

foreign workers' permits, –

(i) why was there a need for him to be assigned to carry out, *inter alia*, the renewal of the permits of the foreign workers following the dismissal of one Zolkefley Bin Md Husin; and

(ii) why was there a need for the Head of Human Resources, one Bhupindar Singh, to instruct the Claimant to make applications for work permit and/or special pass for foreign workers whose contract had expired during the Movement Control Order, the extended Movement Control Order and the Conditional Movement Control Order, the extended Conditional Movement Control Order; and

(e) in view of the conflicting averments made by the Claimant and the Company, the testimony of one Bhupindar Singh, one Wenceslas a/l Savariappan and one Zolkefley Bin Md Husin would have provided greater clarity as regards the Company's internal arrangements vis-à-vis the administration and the management of the recruitment process of the foreign workers i.e. whether one Zolkefley Bin Md Husin reported **directly** to the Claimant or whether he reported directly to Wenceslas a/l Savariappan. This is more so as –

(i) COW-1 admitted during re-examination that she assumed the Claimant would have all the details regarding the foreign workers wherein she stated "*Zol is a mere administrator, the instruction to carry out the duty comes from Adiputra who is his supervisor. So, I*

assume *Adiputra as the supervisor should have the full expiry, all the details of foreign workers to give Zol the right instruction*";

(ii) at the material time COW-1 was not the Head of Human Resources at the Company but she was the Head of Human Resource in Hong Leong Industries Berhad and thus would not have known the Company's internal arrangements vis-à-vis the administration and the management of the recruitment process of the foreign workers; and

(iii) the Company had cited the Industrial Court case of *Zolkefley Bin Md Husin v Guocera Sdn. Bhd.* (Award No. 139 of 2022) and submits the Industrial Court in the said case held that one Zolkefley Bin Md Husin reported to the Claimant. In relation thereto, this Court, having read the Award in the said Industrial Court case, observes this was only stated within the factual matrix of the Award, i.e. part of the evidence presented by the Company in the said case which may not necessarily be binding in the present case. Thus, at the very least, the Company could have called one Wenceslas a/l Savariappan, who had given evidence for the Company in the said case, to give evidence vis-à-vis the the Company's internal arrangements vis-à-vis the administration and the management of the recruitment process of the foreign workers.

[17] Taking the above observations into consideration, this Court deems the Claimant's testimony that matters related to the Company's foreign workers

including administration and the management of the recruitment process were under the supervision and/or control of one Zolkefley Bin Md Husin, Human Resources Specialist, and he reported directly to the Human Resources Manager, one Wenceslas a/l Savariappan, as more trustworthy and credible.

[18] The Company further submits that –

(a) the Claimant admitted to not making any application for work permit and/or special pass until this failure was brought to his attention on 18th June 2020. The Claimant further admitted that the foreign workers identified have been reporting to work as usual despite not being in possession of valid work permit and thereby exposing the Company to legal actions by the authority;

(b) the Claimant failed to monitor and keep abreast with the important announcement by the Government in relation to the Movement Control Order and operations of the related agencies as the Claimant was fully aware that law only permits documented workers to be employed in the premises of the Company;

(c) without a valid work permit, the foreign workers would also not be in possession of any insurance. As the said foreign workers work in the 3D "*Dangerous, Dirty and Difficult*" type of work, it was especially dangerous to have them working at the plant;

(d) the Claimant knew he had to apply for the renewal of permits three (3)

months prior to the expiry and failure to do so would mean he would have to apply for the special pass; and

(e) the Immigration Department had announced on 2nd May 2020 that all extension of passes is to be carried out within 30 days from the end of the Movement Control Order, which was on 3rd May 2020.

[19] In relation to the above, the data relating to the work permits of the foreign workers are reproduced below:

No	Staff Number	Employee Name	Date of Permit Expiry	Balance to contract in months	Remarks
1	700460	Birju Mandal	08/05/2020	-1.4	Permit not renewed due to MCO
2	700461	Pralad Taru	08/05/2020	-1.4	Permit not renewed due to MCO
10	700689	Dhami Raju Prasad	01/04/2020	-2.6	Permit not renewed due to MCO
11	700696	Khanal Meg Bahadur	01/04/2020	-2.6	Permit not renewed due to MCO
12	700697	Khatri Chettri Mansingh	01/04/2020	-2.6	Permit not renewed due to MCO
27	700765	Lokendra Mahara	24/04/2020	-1.8	Permit not renewed due to MCO
28	700767	Dipendra Sing Thagunna	24/04/2020	-1.8	Permit not renewed due to MCO
29	700768	Dil Bahadur Muktan	24/04/2020	-1.8	Permit not renewed due to MCO
30	700770	Dhan Bahadur Yonjan	24/04/2020	-1.8	Permit not renewed due to MCO

31	700779	Karan Sing Thagunna	24/04/2020	-1.8	Permit not renewed due to MCO

[20] This Court notes that the expiry date of the permits of the abovementioned foreign workers were in April and May. Bearing in mind that the application for the renewal of the permits should have been done three (3) months prior to the expiry date, rightfully the said application should have been done as per the timeline shown in the Claimant's submission which is reproduced below:

No	**Staff Number**	**Employee Name**	**Date of Permit Expiry**	**Date of Application**
1	700460	Birju Mandal	08/05/2020	08/02/2020
2	700461	Pralad Taru	08/05/2020	08/02/2020
10	700689	Dhami Raju Prasad	01/04/2020	01/01/2020
11	700696	Khanal Meg Bahadur	01/04/2020	01/01/2020
12	700697	Khatri Chettri Mansingh	01/04/2020	01/01/2020
27	700765	Lokendra Mahara	24/04/2020	24/01/2020
28	700767	Dipendra Sing Thagunna	24/04/2020	24/01/2020
29	700768	Dil Bahadur Muktan	24/04/2020	24/01/2020
30	700770	Dhan Bahadur Yonjan	24/04/2020	24/01/2020

31	700779	Karan Sing Thagunna	24/04/2020	24/01/2020

[21] Following thereto, taking into consideration the above timeline, this Court agrees with the Claimant's submission that the application for the renewal of the abovementioned foreign workers should have been done by one Zolkefley Bin Md Husin as the Claimant was only assigned to manage and administer the foreign workers' matters beginning from 28th February 2020.

[22] This Court further notes the Movement Control Order which started on 18th March 2020 ended on 3rd May 2020 and was followed by the Conditional Movement Control Order on 4th May 2020. For this purpose, the Immigration Department had issued a notification regarding the resumption of Malaysian Immigration Department Services on 2nd May 2020 which stated, *inter alia*, all pass facilitation for foreigners whose pass has expired from 1st February 2020 can be done at any immigration office within 30 working days from the end of the MCO period. The said notification further stated that the online appointment for immigration counter services could only be assessed starting 8th May 2020. Under these circumstances and taking into consideration the Covid-19 situation as well as the fact that the permits of the foreign workers had actually expired during the Movement Control Order period and Conditional Movement Control Order period, this Court finds that it was unreasonable for the Company to claim that the Claimant was negligent and lackadaisical in handling the renewal of the said permits.

[23] In addition to the above, this Court observes that COW-1 had emailed the

Claimant on 18th June 2020 at 11:47 a.m. inquiring about the status of the foreign workers. In his reply to COW-1 vide email dated 18th June 2020 at 12:35 pm, the Claimant had provided the status update of the foreign workers which included the need to renew the permits for six (6) of the said workers. The Claimant further stated, *inter alia*, *"...**we** are now waiting for further instruction regarding their renewal..."*. As the email was cc'd to one Wenceslas a/l Savariappan, the word "*we*" used by the Claimant in his reply implies that he was also speaking on behalf of one Wenceslas a/l Savariappan. Seeing that the Claimant and one Wenceslas a/l Savariappan were waiting for further instructions regarding the renewal of the permits, it would be unfair to only put the blame on the Claimant that he had failed to monitor and keep abreast with the important announcement by the Government in relation to the Movement Control Order and operations of the related agencies.

[24] Moreover, COW-1 during re-examination stated that "*...When the announcement was made by Government, HR was notified via call to ensure the government regulations during MCO is strictly followed...*". However, COW-1 did not elaborate further as regards the exact date and the "*HR*" staff/personnel that had been notified i.e. was it the Claimant or was it Bhupindar Singh or was it Wenceslas a/l Savariappan. In all likelihood it was not the Claimant as COW-1 would have said so during re-examination. If so, was the message immediately relayed to the Claimant? These are pertinent questions which warrants further clarification from COW-1 in view of her insistence that the Claimant was negligent and lackadaisical in handling the renewal of the said permits.

[25] It also worth mentioning that the Immigration Department had issued FAQs

"(AS OF 10TH JULY 2020)" providing further clarification regarding, *inter alia*, the issuance of special pass for foreign workers whose permits have expired during the Movement Control Order period beginning 1st February 2020 until 17th March 2020. In the said FAQs, it is mentioned that the employers would need to apply for a special pass for foreign workers whose permits have expired during the Movement Control Order period beginning 1st February 2020 until 17th March 2020. For permits that had expired prior to 1st February 2020, the employer will be referred to the Operations, Investigation & Prosecution Division / Enforcement Division for further action. Thus, the Immigration Department had given special leniency for permits that expired during the Movement Control Order period. As the permits for the foreign workers in the present case did not expire prior to 1st February 2020 the special leniency would have been provided to them. Following thereto, the Company's contention that the Claimant's lackadaisical attitude towards work and gross negligence in carrying out of the duties and responsibilities entrusted upon him has exposed the Company to legal sanction was premature.

[26] As regards the Claimant's job description –

(a) COW-1 during re-examination testified that based on the Claimant's job description the Claimant had <u>sole access</u> to the personal records of the foreign workers and as such, the Clamant is responsible for end to end recruitment involving the foreign workers, which includes ensuring statutory requirement and immigration requirement of the employees of foreign workers;

(b) this Court observes that this was challenged by the Claimant as the job description enclosed in COB2 on pages 20 to 22 had misspelt his name and the Company's logo placed on the right side of the document's footer was not in existence when the Claimant first commenced his employment with the Company; and

(c) this Court further observes that the job description stated the Claimant's "date joined" as "1st March 2015". This contradicts the Letter of Employment tendered by the Claimant in Court wherein it shows his commencement date of employment as 19th January 2015 whilst the Letter of Employment tendered by Company shows the Claimant's commencement date of employment as 2nd February 2015,

as such this Court is unable to accept the Company's contention relating to the same.

[27] This Court further observes that prior to the incident, the Claimant had been working with the Company for a period of five (5) years. During the Claimant's five (5) years employment period with the Company no complaints had been filed against him regarding the delay in obtaining the renewal of permits for the foreign workers. This lends credence to the Claimant's assertion that the application for the renewal of the abovementioned foreign workers were done by one Zolkefley Bin Md Husin who reported directly to the Human Resources Manager, one Wenceslas a/l Savariappan.

[28] In relation to the above, this Court takes note that the Claimant's resume

as enclosed to the email dated 21st May 2020 contains the Claimant's "*Position/Achievement/Jobs Function*". For purposes of "*Years – 02.02.2015 – present*" the Claimant's "*Position/Achievement/Jobs Function*" encompasses, *inter alia*, "*Human Resource (recruitment, on boarding matters, Employee Relation, employee grievance, motivation and etc)*". The Claimant during re-examination explained that his functions in handling recruitment would be to conduct recruitment of various candidates and conduct interviews as well as arranged interviews for each head of departments and dealt with onboarding matters. No evidence has been tendered in Court to show that the Claimant has not carried out his duties effectively and efficiently during his tenure of employment prior to the incident i.e. prior to February 2020.

[29] Moreover, if indeed it is true that one Zolkefley Bin Md Husin reported directly to the Claimant regarding the applications for work permit and/or special pass for foreign workers whose permit had expired, as the Claimant reported directly to one Wenceslas a/l Savariappan, the Company's former Human Resources Manager who then reported directly to the Head of Human Resources, one Bhupindar Singh, it begs the question why only the Claimant was singled out by COW-1. It also begs the question as to why COW-1 did not subject Wenceslas a/l Savariappan and Bhupindar Singh with the same standard of responsibilities as both of them would and should also be fully aware of the legal ramifications faced by the Company and/or its directors and manager for harbouring undocumented workers at the Company's premises and ought to have taken the necessary steps to ensure compliance. This is because the premise of the decision of the Court of Appeal in the cases of *Tay Lye Seng & Anor v Nazori bin Teh & Anor* [1998] 3 MLJ 873 and *Sukatno v Lee Seng Kee*

[2009] 3 MLJ 306 should also apply to Wenceslas a/l Savariappan and Bhupindar Singh.

[30] In addition to the above, the present case can be distinguished from the Industrial Court case of *Saiful Azwan Abdul Majid v Eon Auto Mart Sdn. Bhd. / Eon Bhd.* [2019] 2 LNS 1232 cited by the Company in its submission as the claimant in the said case had been receiving several email reminders and urgent requests for payment from the supplier to settle invoices, but failed to respond to such reminders and requests. In addition, a final demand for payment was issued by the supplier to the company and a warning was issued against the company that failure to settle the outstanding sum will lead to all the company's parts accounts being suspended by the supplier's account system without prior notice. Furthermore, the claimant in the said case had caused the company to suffer losses in the millions.

[31] Based on the above observations and considering the totality of the circumstances of the present case, this Court considers that the Claimant's dismissal was too harsh and unreasonable.

[32] Bearing in mind subsection 30(5) of Act 177, acting according to equity and good conscience and the substantial merits of the case without regard to technicalities and legal form, this Court thus finds that the Claimant's dismissal was without just cause or excuse.

Remedy

[33] This Court will now proceed to consider the appropriate remedy applicable to the Claimant. The Claimant prays that he be reinstated to his position without any loss of salary, allowance, service, seniority, privileges or benefits of any kind and any other or alternative relief as this Court deems fit and proper.

[34] Based on the facts of this case, this Court views that reinstatement of the Claimant to his former position is not a suitable remedy. Hence, the Court will not order reinstatement of the Claimant.

[35] As such, the appropriate remedy in the circumstances of this case will be compensation in lieu of reinstatement. Thus, this Court orders that the Claimant be paid one month wages of the last drawn salary of RM7,580.00, for every year of service completed i.e. 5 years of completed service.

[36] This Court further orders that the Claimant be paid compensation in the form of back wages. As there is no evidence of any post dismissal earnings or income of the Claimant in this case, this Court views 24 months back wages should be the appropriate sum to be awarded to the Claimant.

[37] Therefore, based on the Claimant's last drawn salary of RM7,580.00, the total amount of compensation in lieu and back wages payable to the Claimant is as follows:

(i) Compensation in lieu of reinstatement
RM7,580.00 x 5 months = RM37,900.00;

and

(ii) Backwages
RM7,580.00 x 24 months = RM181,920.00;

TOTAL = RM219,820.00

Order

[38] This Court hereby orders that the Company pays the Claimant the total sum of **Ringgit Malaysia Two Hundred Nineteen Thousand and Eight Hundred Twenty (RM219,820.00)** within 90 days from the date of this Award.

HANDED DOWN AND DATED THIS 27TH DAY OF NOVEMBER, 2025.

-signed-

(NUR FAUZAH BINTI DATO' MOKHTAR)
CHAIRMAN
INDUSTRIAL COURT OF MALAYSIA
AT KUALA LUMPUR